Actual Net Tax Revenues were Lower by a Massive Rs 3 Lakh Crore

Actual net tax revenues for the year 2019–20 turned out to be only Rs 13.57 lakh crore. This was Rs 2.93 lakh crore less than the budgeted net tax revenues of Rs 16.50 lakh crore. This was only Rs 0.4 lakh crore more than the actual net tax revenues of Rs 13.17 lakh crore in 2018–19, a growth of only 3 per cent.

The year 2017–18 was the first year of the big reform of the Goods and Services Tax (GST). That year had yielded net tax revenues of Rs 12.42 lakh crore. Tax revenues grew by Rs 75,000 crore in 2018–19 (about 6 per cent). In the next year, 2019–20, tax revenues of the Centre grew by only 3 per cent. 2019–20 was a normal year except in the last month of March 2020, when the government imposed a total lockdown in the last week of the month. But the tax growth of 6 per cent in 2018–19 and only 3 per cent in 2019–20 did substantiate the charge that there was a taxation crisis in the country.

Income Taxes Performed Quite Poorly

There are two principal taxes on incomes, also identified as direct tax revenues. The taxes on income of companies are collected under a separate account—corporation income tax (CIT). The tax on income of all non-corporate bodies, primarily individuals, are collected as personal income tax (PIT).

These two taxes together were budgeted to contribute gross tax revenues of Rs 13.35 lakh crore (Rs 7.66 lakh crore CIT and Rs 5.69 lakh crore PIT) in 2019–20. The government had collected Rs 11.37 lakh crore from these two income taxes in 2018–19. Therefore, direct taxes were expected to grow by about Rs 2 lakh crore or 15 per cent over the tax collected in 2018–19.